COUNCYL CAPITAL
FINAL REPORT

Winter 2025

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COUNCYL

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EXECUTIVE SUMMARY

This report focuses on our teams impact on Councyl Capital's current investment opportunities, with focuses on the freight industry and initial research into mobile home parks. Our objective was to deliver market insights, financial tools, and strategic recommendations to guide future goals.

Key activities completed during the internship included industry research, analysis of freight brokers and load boards, the development of multiple financial documents, and creating recommendations for compliance with USDOT and other compliance and insurance regulations. After reviewing available options, DAT was selected as the preferred load board platform due to its broader accessibility and competitive pricing. Additional materials included a freight job summary, a current and six-month projected balance sheet, as well as a basic profit and loss statement. These tools are intended to support in the development of the freight branch and determine profitability, operational decisions, and investor outreach. In addition, we participated in a business case analysis and drafted an initial investor pitch deck to be used. While the deck requires further refinement and acts as a guideline, the groundwork laid during this internship provides a stronger basis for revision and future use.

A few key impacts and outcomes we've left are financial advice for proceeding in the freight shipping business, market research into what products would be most profitable in the shipping industries, solutions for how to overcome obstacles in the freight industry, as well as recommended USDOT compliance expert services. Additional insight into direct impact is explored in the impacts and outcomes page.

All activities were based on our structured team work plan, aimed at combining our market research with real-world financial feasibility. The deliverables produced act as a starting point for deeper financial analysis and help Councyl Capital make better informed decisions.

WHERE WE WERE AT

ORIGINAL SITUATION

Councyl Capital is a growing private equity firm focusing on emerging markets with a primary focus on mobile home park growth and expansion. Recently, Councyl began developing a new portfolio branch focused on the growing freight shipping industry. Councyl had begun acting as brokers in the freight industry, even acquiring company giant Wells Fargo as one of its main clients. Our team was primarily tasked with helping this expanding portfolio freight shipping company, and the bulk of our deliverables revolved around this. Additionally, we conducted research into the mobile home park market and worked on a few other projects, such as providing feedback on an emerging wish list start-up. With that said, the majority of our work was within the realm of the freight shipping company, as this is an important industry in which Councyl Capital wants to expand into. We served as interns primarily to supply the portfolio branch with information necessary to thrive and eventually expand.

WHERE WE WERE AT

COMPLICATION

It was clear that Councyl needed to stay on top of incoming transactions and new jobs coming in in order to maintain clarity and organization, thus preparing Councyl for continued and future success. Additionally, as Councyl has grown, so has its competition, thus driving the need for Councyl to present itself as a more competitive choice to gain more contracts and clients. It is important for Councyl to act fast in these areas to gain momentum in order to stay ahead of the curve. Lastly, we were made aware that Councyl needed help in staying compliant to the various freight shipping regulations as detailed by USDOT and FMCSA.

WHERE WE WERE AT

PROBLEMS TO BE CONSIDERED

We needed to develop, analyze, and strategize about improvement of the freight shipping portfolio branch by developing key financial reports such as a balance sheet and a profit and loss statement. Additionally, to provide a better summary of all transactions, past jobs and costs, we put together a job summary sheet summarizing key information as it was given. We also discovered that Councyl would need a clear and well-established load board system to stay on top of current transactions and attract future clients. Additionally, we were asked to help Councyl to be fully compliant in meeting USDOT and FMCSA regulations. There has been an increased need for Councyl to become more competitive against its competitors and we helped in the initial strategizing of new ways for Councyl to be a clear candidate for business against their competitors.

PEOPLE INVOLVED



Michael Rawson
Team Leader



Skye Meyers
Deliverables Manager



Luke Christensen
Report Manager



Brady Nelson
Project Manager



Owen Mead
Sponsor Liaison

Company Sponsors:
Drew Shah
Kelly Keurzoneff

PROCESSES AND METHODS

PROCESSES

For our internship, learning the basics of private equity and the business structure of Councyl Capital was crucial; this required that we listen intently as we asked questions to gain a deeper understanding of what they expected of us. Pulling from our knowledge of accounting and financial analysis, we were able to incorporate different tools and methods that assisted us in providing recommendations to Councyl Capital and tangible deliverables.

METHODS

We used many methods during our internship, first starting with educating ourselves by asking basic questions like what does Councyl Capital do? What do they expect of us in the projects they assign to us? Then, as a team, we built tangible deliverables (such as the P&L list, Balance sheet, job summary list, etc.) to help them resolve concerns they are currently facing. Through weekly team meetings we were able to adjust as necessary to keep the concerns and solutions relevant to Councyl Capital. We kept in frequent contact with Drew and Kelly to ensure that the provided deliverables were what they wanted.

TECHNIQUES AND TOOLS

TECHNIQUES

Techniques we used during the course of this internship were a process called extract, transform, and load. We extracted data through our team meetings, and based on what we discussed, we transformed that data into multiple deliverables like the P&L list and the balance sheet, etc., which is how we loaded that data. Other techniques used during the internship was applying statistical analysis to assess the financial health of Councyl Capital. Throughout the process of understanding their financial health, we used various techniques to analysis like trend analysis and forecasting.

TOOLS

We also used a variation of tools during the course of this internship in order to put together our final deliverables. Microsoft Excel was our main tool as all of our financials and job summary report were done on there, using simple “If” statements and other Excel language systems to accomplish basic cross-worksheet organization. Other tools like AI models, such as ChatGPT, were helpful in constructing basic tables and graphs. Additional tools were used, and these tools can be learned about in greater depth in the User Guide.

MULTIPLE SOLUTIONS

I. Freight Job Tracker
II. Load Board Decision
III. Financials
IV. USDOT Compliance
V. Market Research
VI. Business Case

SOLUTION I:

Freight Job Tracker

Problem:

We were asked to create a dashboard that organized and recorded all completed jobs to date including important quantifiable data and information for each job.

Process:

We were given key data in an Excel spreadsheet and organized each job with it's associated job number, date completed, load destination, origin city, actual versus billable expenses and amount invoiced for each job. The job summary spreadsheet uses excel tools and calculations to find total expenses across all jobs and total revenue expected to be received from the customer. These totals were essential in helping us compile data for the financial statements.

Purpose:

The purpose of the job summary tracker is to manage and monitor previous jobs completed and specific details pertaining to each one. The tracker contains over 30 jobs that have taken place over the lifespan of the freight company dating back to October of 2024. The tracker helps to ensure accuracy when completing financial statements and can be used to organize future jobs. If necessary, the tracker can record specific notes on jobs.

SOLUTION I:

Freight Job Tracker

Final Product:

	Date	Associated Invoice # from us	Customer Request #	Ceres BOL#	Origin City of Job	Actual Total Miles* Need to Look Up (Using Google Maps)	Billable Miles	Invoiced Mileage Cost	Actual Hotel Cost	Invoiced Hotel Cost	Actual Labor Hours	Actual Labor Cost	Invoiced Labor Cost	Actual Materials Cost	Invoiced Materials Cost	Total Invoiced	NOTES
						Round Trip Mile from San Diego, To Pick Up, To Drop Off in Vegas & Back to San Diego		(Rate of $2.76/ Mile)				@ $20/ Hr Per Person					
7	2024-10-01	#10CWE1-241	#683742	S00067734	Bakersfield, CA	753	522	$1,440.72	$55.00	$55.00	1	$20.00	$20.00	$75.00	$75.00	$1,590.72	Very Heavy Item, not ideal without lift g
	2024-10-07	#10CWE1-242	#683414	S00067773	Fontana, CA	225	340	$938.40	$0.00	$0.00	0	$0.00	$0.00	$32.38	$32.38	$970.78	
	2024-10-09	#10CWE1-243	#685422	S00067842	Chula Vista, CA	338	349	$963.29	$0.00	$0.00	1	$40.00	$40.00	$31.00	$31.00	$1,034.29	
	2024-10-16	#10CWE1-244			Portland, OR	971	1305	$3,601.00	$111.00	$111.00	2	$80.00	$80.00	$130.00	$130.00	$3,922.00	
	2024-10-18	#10CWE1-245	#678201		El Monte, CA	257	390	$1,056.08	$125.00	$125.00	1	$20.00	$20.00	$25.00	$25.00	$1,247.08	
	2024-10-21	#10CEW1-246	#685100		El Centro, CA	309	501	$1,382.76	$110.00	$110.00	0	$0.00	$0.00	$25.00	$25.00	$1,497.76	
	2024-10-23	#10CWE1-247	#688017	S00068019	Chino (was changed from SF- Invoice still says San Francisco in Title)	241	355	$980.40	$95.00	$95.00	0	$0.00	$0.00	$5.00	$5.00	$1,080.40	
4	2024-11-06	#11CWE2-248	#691480	S00068147	Santa Ana (6) +Long Beach, CA	301	916	$2,535.60	$140.00	$140.00	10	$100.00	$100.00	$222.35	$222.35	$2,997.95	
	2024-11-12	#11CWE2-249	#601950	S00068154	Santa Clarita, CA	309	460	1,270	$110.00	$110.00	0	$0.00	$0.00	$0.00	$0.00	$1,379.60	
	2024-11-13	#11CWE2-250	#691484	S00068225	San Francisco (7), CA	1025	1025	$2,820	$389.00	$389.00	14	$280.00	$280.00	$207.00	$207.00	$4,005.00	
	2024-11-21	#11CWE2-251	#694461	S00068295	Fremont (7), CA	544	1190	$3,284.40	$240.00	$240.00	7	$140.00	$140.00	$217.00	$217.00	$4,181.40	
6	2024-12-03	#12CWE3-252	#692978	S00068419	San Marcos, CA	301	342	$943.92	$85.00	$85.00	2	$40.00	$40.00	$43.00	$43.00	$1,111.92	
	2024-12-10	#12CWE3-253	#698095	S00068455	San Diego, CA	331	350	$1,026	$60.00	$60.00	0	$0.00	$0.00	$0.00	$0.00	$1,086.00	
	2024-12-12	#12CWE3-254	#697594	S00068495	Temecula, CA	273	350	$966	$120.00	$120.00	1	$20.00	$20.00	$38.00	$38.00	$1,144.00	
	2025-12-17	#12CWE3-263	#696958	S00068525	Murietta, CA	269	342	$943.92	$117.00	$117.00	1	$20.00	$20.00	$10.00	$10.00		
	2024-12-26	#12CWE3-255	#700371	S00068604	El Monte, CA	256	389	$1,073.64	$125.00	$125.00	1	$20.00	$20.00	$10.00	$10.00	$1,229.64	
	2024-12-30	#12CWE3-256	#700568	S00068607	Long Beach, CA	283	386	$1,065.36	$125.00	$125.00	1	$20.00	$20.00	$10.00	$10.00	$1,220.36	
4	2025-01-13	#1CWE4-257	#694605	S00068637	Culver City, CA	280	410	$1,131.60	$95.00	$95.00	8	$160.00	$160.00	$93.76	$93.76	$1,480.36	
	2025-01-15	#1CWE4-258	#700701	S00068638	Anaheim, CA	264	363	1,002.88	$205.00	$205.00	1	$20.00	$20.00	$26.00	$26.00	$1,253.88	
	2025-01-16	#1CWE4-259	#701721	S00068698	Lakewood, CA	273	386	$1,065.36	$105.00	$105.00	0	$0.00	$0.00	$3.00	$3.00	$1,173.36	
	2025-01-22	#1CWE4-260	#703175	S00068724	Solana Beach, CA	318	353	$974.28	$120.00	$120.00	0	$0.00	$0.00	$5.00	$5.00	$1,099.28	
2	2025-02-05	#2CWE5-261	#706014	S00068802	Las Vegas, NV		351	$968.76	$94.00	$94.00	2.5	$100.00	$100.00	$40.00	$40.00	$1,202.76	
	2025-02-27	#2CWE5-262	#710361	S00069002	Long Beach, CA	286	390	$1,076.40	$120.00	$120.00	0	$0.00	$0.00	$4.00	$4.00	$1,200.40	
7	2025-03-03	#3CWE5-264	#709700, #7102	S00069030	Reno (4), NV	441	880	$2,578.80	$250.00	$250.00	1	$80.00	$80.00	$90.31	$90.31	$2,999.11	
	2025-03-05	#3CWE5-265	#698957	S00069978	Downey, CA	272	386	$1,065.36	$93.00	$93.00	2	$60.00	$60.00	$32.00	$32.00	$1,250.36	
	2025-03-10	#3CWE5-266	#712486	S00069113	San Diego (7), CA	336	420	$1,459.20	$95.00	$95.00	6	$240.00	$240.00	$115.00	$115.00	$1,909.20	
	2025-03-12	#3CWE5-267	#712734	S00069125	Phoenix (6), AZ	302	750	$2,292.40	$400.00	$400.00	12	$240.00	$240.00	$238.00	$238.00	$3,170.40	
	2025-03-18	#3CWE5-268	#715473	S00069182	Scottsdale (5), AZ	312	685	$2,090.60	$203.00	$203.00	6	$120.00	$120.00	$135.00	$135.00	$2,548.60	
	2025-03-20	#3CWE5-269	#706440	S00069208	La Brea (LA), CA	273	415	$1,145.40	$216.00	$216.00	4	$80.00	$80.00	$89.00	$89.00	$1,530.40	
	2025-03-31	#3CWE5-270			N Phoenix (5), AZ												
	2025-04-02	#4CWE6-271			OC (5) + LA, CA												

SOLUTION II:

Freight Company Load Board Decision

Problem:

We needed to choose a load board that would fit the company’s budget, needs, and make it more competitive against other freight brokers.

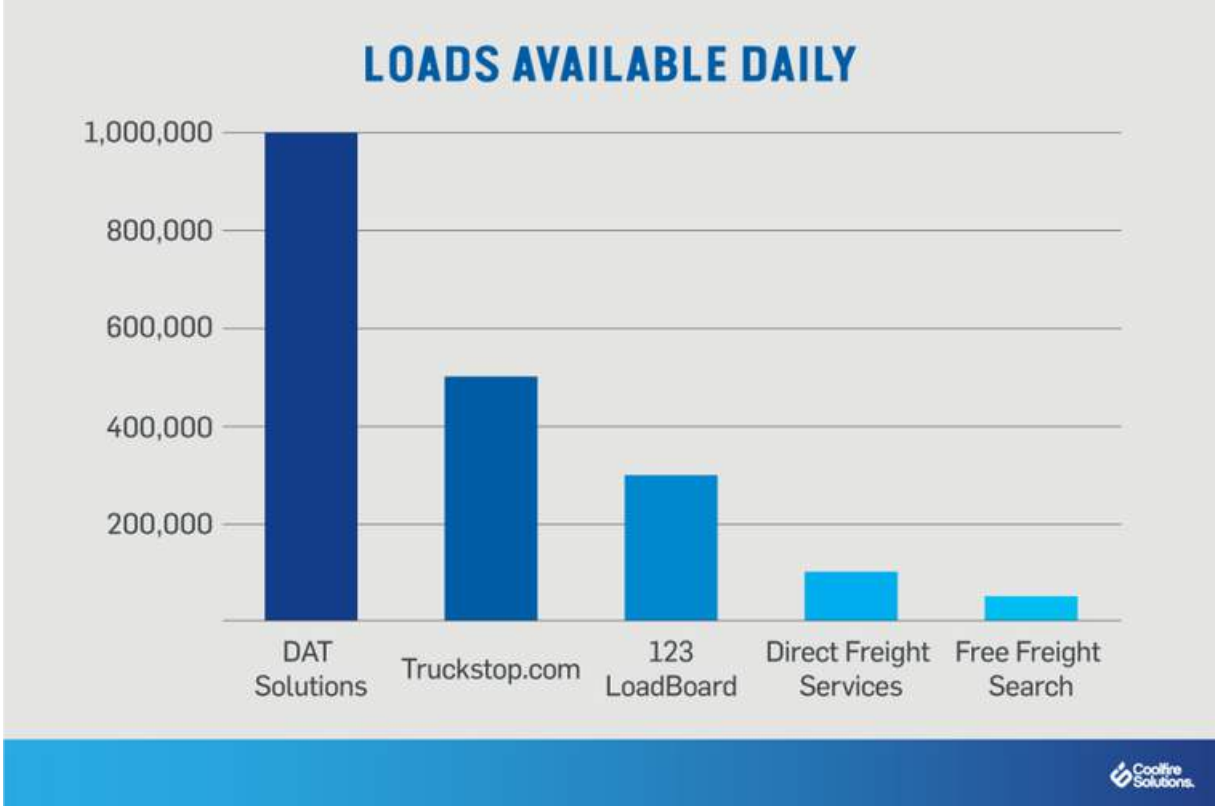
Process/Solution:

- We completed market research on possible load boards and looked into the load board systems suggested to us by our sponsor’s.
- We compared different subscriptions' services and costs, examining our own budget in the process.
- We considered the sustainability of this board in relation to the growth of the company.
- We presented several boards to our sponsor’s after thorough research and let them make the final decision.

SOLUTION II:

Freight Company Load Board Decision

DAT Freight & Analytics

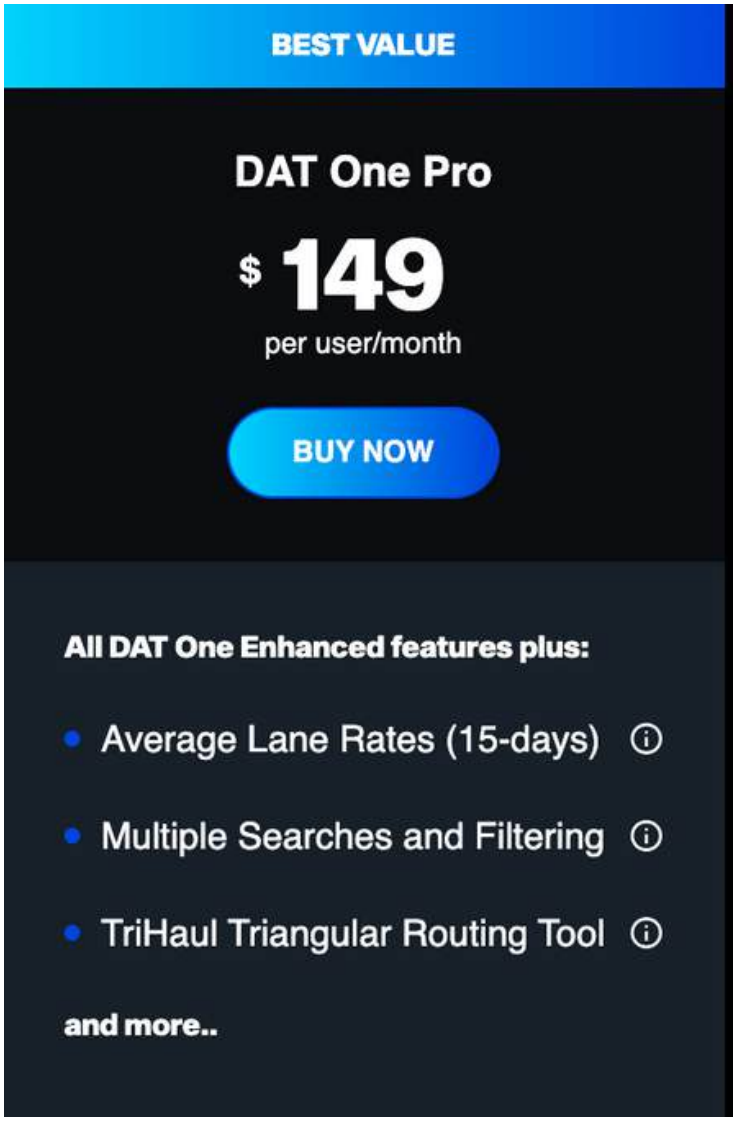


DAT is a verified and trusted load board company which successfully tracks more than 250 million loads per year.

SOLUTION II:

Freight Company Load Board Decision

Recommended Board: DAT One Pro subscription



The DAT One Pro subscription offers an all-in-one system which can be tailored to our company's specific needs. We suggest this subscription because we believe it offers maximum efficiency and capability compared with other systems in the freight market.

SOLUTION II:

Freight Company Load Board Decision

Benefits of DAT One Pro:

Largest load board service in the U.S- Because DAT is the largest load board supplier in North America, it operates and has views of most loads and trucks providing us with superior options. The “Pro” aspect includes real-time updates so that our loads are delivered with less delays. While this subscription is more expensive, we believe the quality of our loads and customer satification is worth the investment.

Real time rates- One Pro uses current market conditions, historical load data and real transactions to make us more competitive against other freight brokers in the industry. In addition to Rateview, Pro also contains a bundle value with other features such as TriHaul so we paying less for more.

SOLUTION II:

Freight Company Load Board Decision

Access to detailed broker information- With the One Pro subscription, we have access to freight broker's credit scores, any delayed payments and their job history. This information helps us avoid less trusted brokers and decreases the possibility of not being paid.

Routing planner- This feature provides a huge benefit to us because the built-in routing planner helps find nearby weigh stations, rest-stops and local fuel prices. With this data, we can optimize load costs, ultimately increasing profitability with each load. Additionally, the planner and other features are accessible anywhere with mobility options and have the ability to be synced across multiple devices.

SOLUTION III:

Freight Company Financials

Problem:

For any business, accurate and detailed financial statements provide informative data for both managers and investors. Financial statements make a company more competitive because investors and clients are attracted to visible and clear metrics.

Solution:

As a team, we took financial data and notes from each job completed by the freight industry, organized them into the job tracker and then used excel functions to help total assets, expenses, debt and so on. We used Chat GPT and a template provided by Intuit Quickbooks to compile official statements with the data we had been given. Based on these values, we calculated some key financial ratios to help further dissect the health of the company. We provided notes sections for each statement that provide managers with in-depth details for each account and the means by which we calculated certain values such as depreciation. While this data is accurate to the best of our knowledge, we suggest that as the company grows and incurs more expenses, debt and equity, that a professional accountant compile financial statements in accordance with GAAP, to increase validility and credibility.

SOLUTION III:

Freight Company Financials

P&L Statement as of Feb 26, 2025

Description	Amount ($)
Sales Revenue	35,907.54
Cost of Services	(8,482.41)
Gross Profit	**27,425.13**
Operating Expenses:	
- Insurance	(5,118.59)
- Wages	(580.00)
- Depreciation	(1,176.90)
- Hotel	(1,361.18)
- Phone	(660.62)
- Other Supplies	(21.38)
Total Operating Expenses	**(8,918.67)**
Earnings Before Interest & Taxes (EBIT)	**18,506.46**
- Interest Expense	0.00
Earnings Before Tax (EBT)	**18,506.46**
- Tax Expense	0.00
Net Income	**18,506.46**

Notes:
Depreciation was calculated using the straight-line method with no residual value, based on billable milage and the industry average depreciation rate for this van. "Other Supplies" includes all travel stop supplies purchased for or during trips. "Cost of Services" consists of ordinary maintenance and repairs separate from those capitalized with the initial purchase of the van, all fuel expenses and invoiced material costs.

SOLUTION III:

Freight Company Financials

P&L Statement as of Mar 31, 2025

Updated P&L Statement (As of Mar 31st)

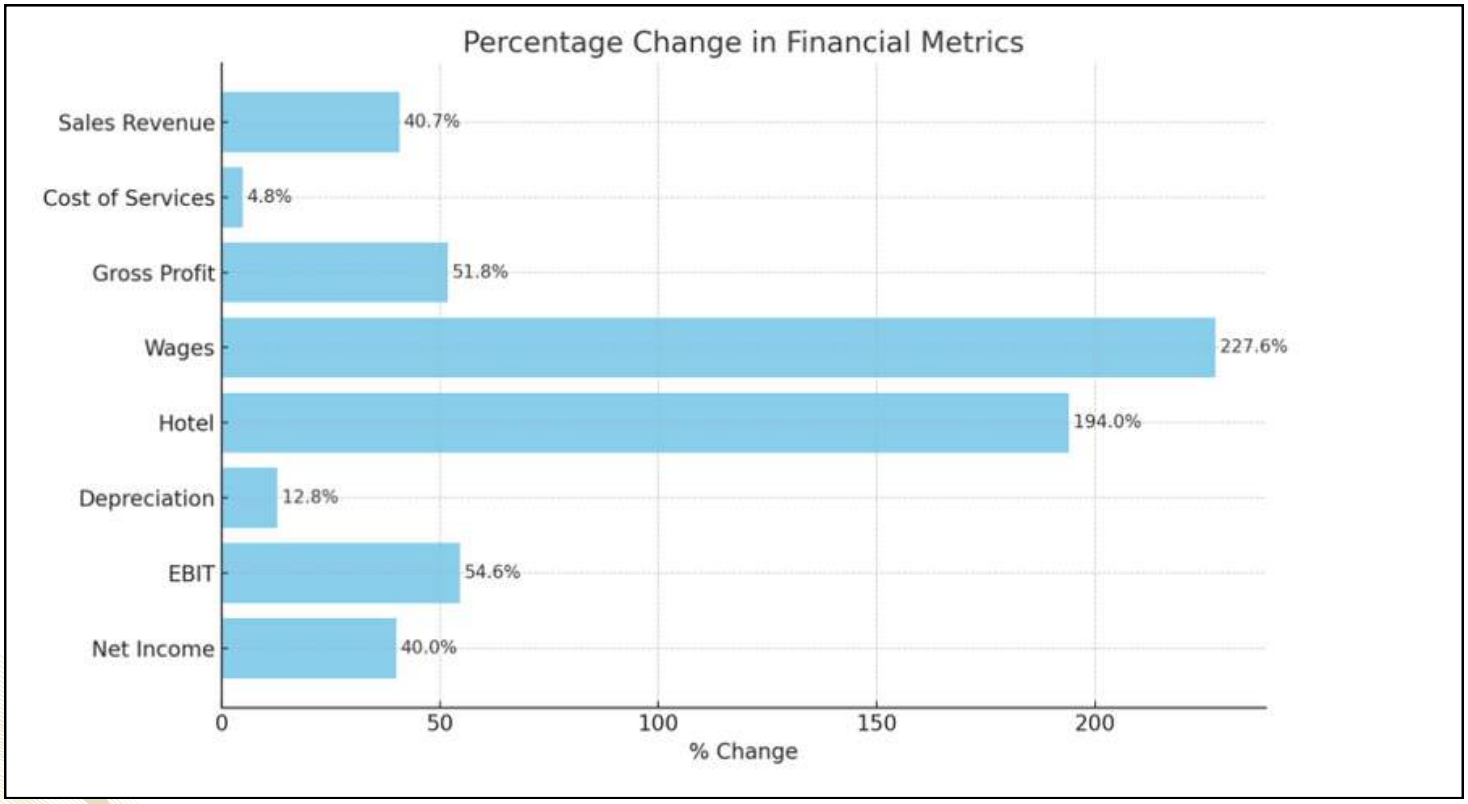
Description	Amount ($)
Sales Revenue	50,516.01
Cost of Services	(8,892.41)
Gross Profit	**41,623.60**
Operating Expenses:	
- Insurance	(5,118.59)
- Wages	(1,900.00)
- Depreciation	(1,327.20)
- Hotel	(4,003.00)
- Phone	(660.62)
- Other Supplies	(21.38)
- Compliance Expenses	*Not provided*
Total Operating Expenses	**(13,030.79)**
Earnings Before Interest & Taxes (EBIT)	28,614.19
- Interest Expense	(2,700.00)
Earnings Before Tax (EBT)	25,914.19
- Tax Expense	0.00
Net Income	**25,914.19**

SOLUTION III:

Freight Company Financials

Key Differences within the P&L after March:

- Total sales revenue grew by 40%
- Gross Profit increased 51.8%
- Paid almost 4x as much in wages
- Net income increased 7,407.73 (40%)



SOLUTION III:

Freight Company Financials

P&L Statement Analysis:

Gross Performance

Gross Margin = 82.4%

A gross margin of 82.4% means that our current costs to deliver services are low in relation to revenue. This is a great signal for scaling growth.

Operating Expenses Report

Total Operating Expenses: $13,030.79

Our total operating expenses include salaries, general depreciation on the van and equipment, insurance fees, hotel, phone, and office supplies. Once compliance fees are paid, they will also be included. These variable costs make up approximately 25.8% of our service revenue.

Earnings Performance

Net Profit Margin: NI/Service Revenue = 51.3%

This is a strong net profit margin, however we expect it to decrease when accurate tax burden is calculated in.

Key Takeaways:

The freight company is ultimately reporting strong gross and net margins. With the current data, insurance and hotel costs are the largest operating expense components, however we expect taxes to be the largest expense when factored in. It's important to verify accuracy when finding future interest expense, compliance costs, and taxes.

THIS DATA IS NOT COMPLETE

SOLUTION III:

Freight Company Financials

Balance Sheet		
Councyl Capital Freight Co.		
Balance Sheet		
4/8/25		
	Current Period	
	10/01/24 to 4/08/25	
ASSETS		
Current Assets:		
Cash	$	35,907.54
Accounts Receivables		14,608.47
Prepaid Expenses		-
Temporary Investments		-
Total Current Assets		50,516.01
Fixed Assets:		
Office Equipment		14,798.00
Vehicles & Relevant Equipment		45,600.00
Less: Accumulated Depreciation		3,057.33
Total Fixed Assets		57,340.67
TOTAL ASSETS	**$**	**107,856.68**
LIABILITIES		
Current Liabilities:		
Accounts Payable	$	2,000.00
Business Credit Cards		-
Sales Tax Payable		5,000.00
Payroll Liabilities		-
Other Liabilities		-
Total Current Liabilities		7,000.00
Long-Term Liabilities:		
Notes Payable		30,000.00
Total Long-Term Liabilities		30,000.00
EQUITY		
Capital Stock/Partner's Equity		44,942.49
Retained Earnings		25,914.19
Total Equity		70,856.68
TOTAL LIABILITIES & EQUITY	**$**	**107,856.68**
Balance Sheet Check		-

SOLUTION III:

Freight Company Financials

Notes:

All cash comes from invoices that paid through 2/11. Accounts receivable consists of unpaid invoices from 2/11 on. The van is a 2021 Mercedes-Benz Sprinter 2500 (with 60,000 miles). $10,000 is allotted to initial equipment, customization, safety & compliance equipment required for the van. These costs are capitalized. Other operational equipment and tools total to $5,600. Office equipment consists of a 15-inch MacBook Air, miscellaneous operational, safety, office equipment of $10,000, and an iPhone 16 Pro Max ($1,199). Depreciation on office equipment is $780 of the $3057. Wages payable has zero value because they have been expensed. Wages are calculated for three employees other than management, each paid $20/hour. Income tax should be the biggest value for our LLC.

Under personal taxes, the van can be written off up to $20,000. Market research for an LLC taxes estimate a tax bracket in the range of 10-12% on things left over after write-offs. We estimate self employment tax to be $2,549, however total taxes were calculated with a maximum estimate of $5,000 for sake of minimizing errors.

SOLUTION III:

Freight Company Financials

Balance Sheet Financial Ratios & Anaylsis

Current Ratio = 7.22
For every $1 of current liabilities, we have $7.22 in current assets. This signals strong short-term financial health.

Debt-to-Equity Ratio = 0.52
For every $1 of equity, we have $0.52 in debt. A debt-to-equity ratio below 1 is generally healthy.

Equity Ratio = 65.7%
65.7% of our assets are financed by equity. This indicates financial independence and relatively low debt.

The company is currently paying no dividends to investors, therefore net income = retained earnings = $25,914.19. This is common among start-ups that are trying to expand their company through profit and suggests participation in reinvestment activities

Return on Equity (ROE) = 36.57%
We've generated 36.57% returns on owner's equity since October 2024.

SOLUTION III:

Freight Company Financials

Balance Sheet Analysis

We must look at ROE differently for startup companies compared with a mature companies. Because startups often operate with more agility and less overhead, a level of return with fewer equity indicates beginning profitable growth. An ROE of 36.57% is considered extremely high and shows very efficient use of funds. This suggests to investors and potential lenders that we are quickly and efficiently turning capital into profit.

We should be cautious about making too many decisions based on this ROE because it is inflated by a low initial equity base. It's important to consider if this level of profitability can be maintained while scaling.

For investors, our high ROE shows strong ROI but they may still ask about sustainable cash flows, reinvestment activities and scaling options.

SOLUTION III:

Freight Company Financials

Potential Scaling Activities

1: Raise capital by increasing equity

- For example, if we increased owner's equity to $150,000 and left Net income at $25,914.19, ROE would decrease to 17.28% Ultimately ROE is still a healthy but it decreases because we created a larger equity base.

2: Increase equity & Net Income

- ROE remains relatively constant, indicating scalability.

3: Increase equity faster than income through early expansion

- If equity increased to $200,000 and if we could slightly increase net income so that it was $30,000. ROE again falls to 15% but this is normal in early growth phases. This increases capacity to handle larger profits later on.

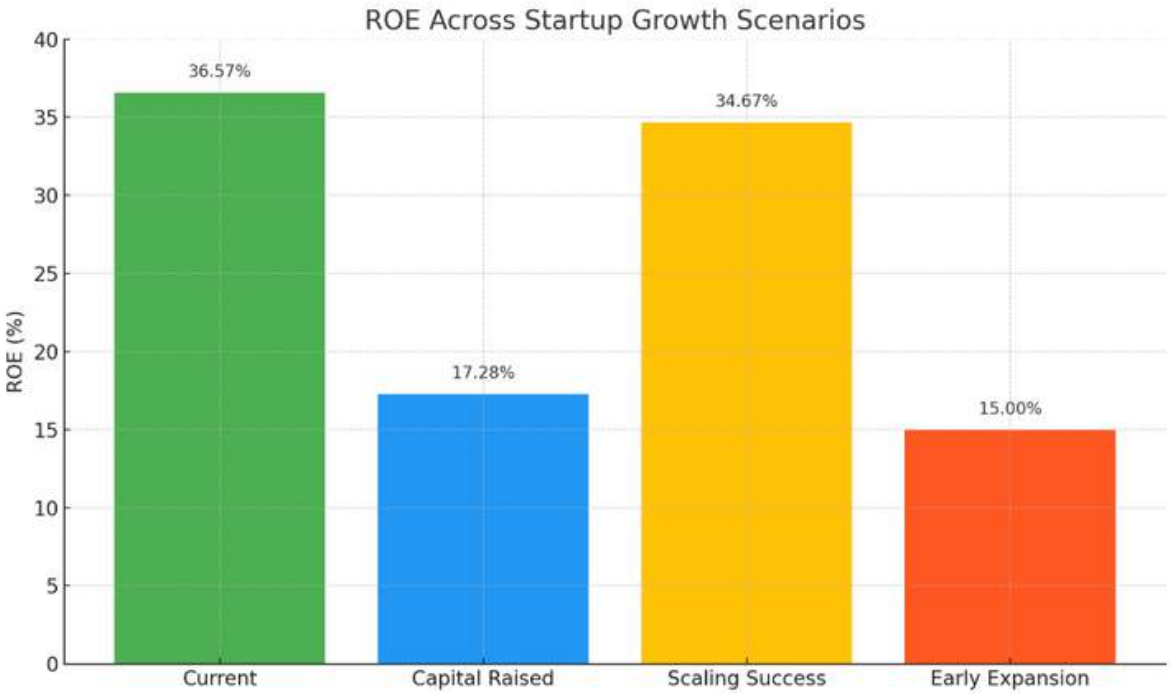
Important factors to keep in mind:

1. ROE will decrease naturally as equity increases
2. ROE should be tracked over time to point out trends
3. For a startup, it's okay for our use of capital to exceed increases in current capital

SOLUTION III:

Freight Company Financials

Potential Scaling Scenarios Visual



Option	Equity	NI	ROE	Summary
Current	$70,857	$25914	36.57%	Agile, Efficient
1	$150,000	25,914	17.28%	Raise capital, dilute
2	$150,000	$52,000	34.67%	Ideal scaling
3	$200,000	$30,000	15%	Early expansion, still healthy because of growth investments

SOLUTION III:

Freight Company Financials

Our recommended scaling option:

Ideal Scaling by simultaneously increasing equity and net income.

While each scaling option does keep ROE in a healthy range, ideal scaling will guarantee lots of room for growth and some flexibility for management decisions. We minimize ROE losses by contributing to capital, while we continue business operations. With ideal scaling, ROE decreases by a mere 1.9% compared to the 19.29% and 21.57% with high capital increases and early expansion. We believe in the current economic climate, it's in our best interest to be conservative in our investment efforts. Ideal scaling is the safest alternative for a any startup. Once we have secured an official USDOT number, we can confidently push expansion efforts and target larger clients and look at expanding our brand by means of creating new teams, and increasing major fixed assets.

SOLUTION IV:

USDOT Compliance

Problem & Processes:

After beginning to compile a comprehensive list of USDOT, FMCSA, and North Carolina specific compliance regulations, as well as the necessary insurance requirements, we realized that the list was quite complicated and intricate and feel that it will be more effort than it is worth for Councyl to self-manage its compliance efforts- at least for now. Our solution is for Councyl to work with a USDOT Compliance Expert service to handle its freight shipping compliance efforts. If Councyl feels that ultimately it isn't worth the money to continue to pay for compliance experts, we still feel that starting by hiring a compliance expert will be worth the money as it will show Councyl exactly what regulations need to be maintained each month. Listed below are three recommended USDOT Compliance services:

SOLUTION IV:

USDOT Compliance



1: Foley Services
(Hyperlinked)

Foley is the first of our three recommended options. It is the most well-known and likely most-used of any compliance service in the US. They claim to have worked with over 50,000 companies to supply safety and compliance data. However, some reviews express dissatisfaction with their experience with Foley Services, with a common theme being that Foley was excessive in the amount of texts/emails that they sent. Satisfaction likely varies by which associate you work with. However, due to their well-known reputation in this field, we believe that they are a valid candidate to hire for compliance services.

SOLUTION IV:

USDOT Compliance



2: Transportation Compliance Service

Transportation Compliance Service appears to also be a great option. They advertise custom solutions tailormade to help businesses be compliant, and specifically mention commercial “hot shot” vehicles, which could be of particular interest to Councyl. While not nearly as well-known or large as Foley Services, they are well regarded and have much experience. They also provide checklists, timesheets and worksheets, which could be of particular interest to Councyl, particularly if Councyl thinks that eventually they would like to move away from hiring a service to do compliance work and to in-house work.

SOLUTION IV:

USDOT Compliance

3: Transportation Compliance Experts

Transportation Compliance Experts is a much smaller company than the two previously mentioned, and the interface doesn't appear nearly as friendly as the other sites, but they do boast a wealth of experience and good results.

Based off initial research, we would recommend Councyl to either work with **Foley or Transportation Compliance Service** for compliance expert regulation work, but it may be beneficial to Councyl to reach out to all three companies and get a free consultation to figure out which of these compliance experts is the best fit. We believe that hiring a compliance expert will be superior to handling all compliance regulations in-house.

MHP & PE Market Research

Original Task:

One of our first tasks at Councyl Capital was to educate ourselves about Private Equity and Councyl Capital's current structure and investments, including the Mobile Home Parks. Therefore we also became educated in the current Mobile Home Park Industry in the United States.

Process:

We read up on information provided to us by our sponsor including case study's, current deals, negotiation tactics, and some academic journals. As a team we discussed these readings and our findings. We used this data to create a rough draft potential investor's pitch deck. On our own time, we each utilized the web, government websites, and Chat GPT to further educate ourselves. Based on our knowledge, we were able to provide more meaningful and comprehensive feedback on our projects. Our findings are as follows:

Mobile Home Park (MHP) Industry in the U.S Market Research

The current MHP industry in the United Stated is valued at over $10 billion. Due to the low supply of affordable housing and high demand for it, there is steady growth within the industry thus making it attractive to investors. Some characteristics that make this an appealing market are low tenant turnover because residents rent the land but own the home, and strong, consistent cash flow as a result of low operating costs and stable rent payments. The market targets those within low-to-middle income families, housing seekers in the workforce and retirees. Baby boomers make up a large portion of the demographic along with millennials looking for affordable housing. MHP's experience some political backlash from local governments that are beginning to pass rent control and tenant protection laws. Additionally, some governments are passing zoning laws to restrict new MHP developments. In general, the market shows steady growth, however parks are relatively difficult to acquire because there are a limited number of them and we are seeing price increases in existing parks that may require expensive maintenance and upgrade costs. However most parks are still owned by the local, older generation which presents more opportunities to acquire such parks.

Large competitors in the industry include Sun Communities, Equity Lifestyle Properties (ELS) and RHP Properties.

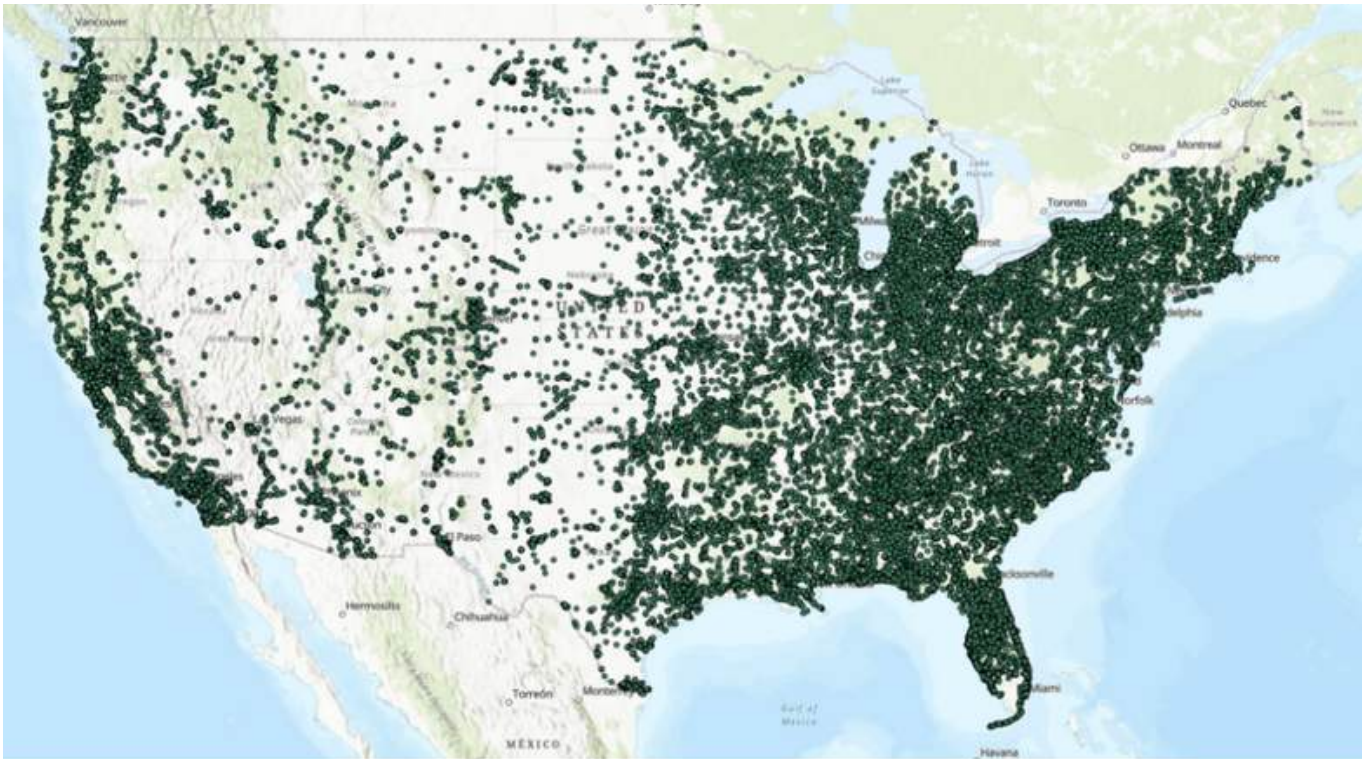
SOLUTION V: MARKET RESEARCH

Mobile Home Park (MHP) Industry in the U.S Market Research

Market Size	Geographic Focus	Regulations
Currently, more than 43,000 MHPs in the U.S	**Location is a combination of geographic & demographic metrics**	**Government incentives include tax breaks, restrictions are imposed**
Individuals and small operators own 75% of MHP's.	Important factors to consider are population growth, rent-to-income ratios, job opportunities and constraints on suppply	There are tax write-offs in the form of depreciation and 1031 exchanges

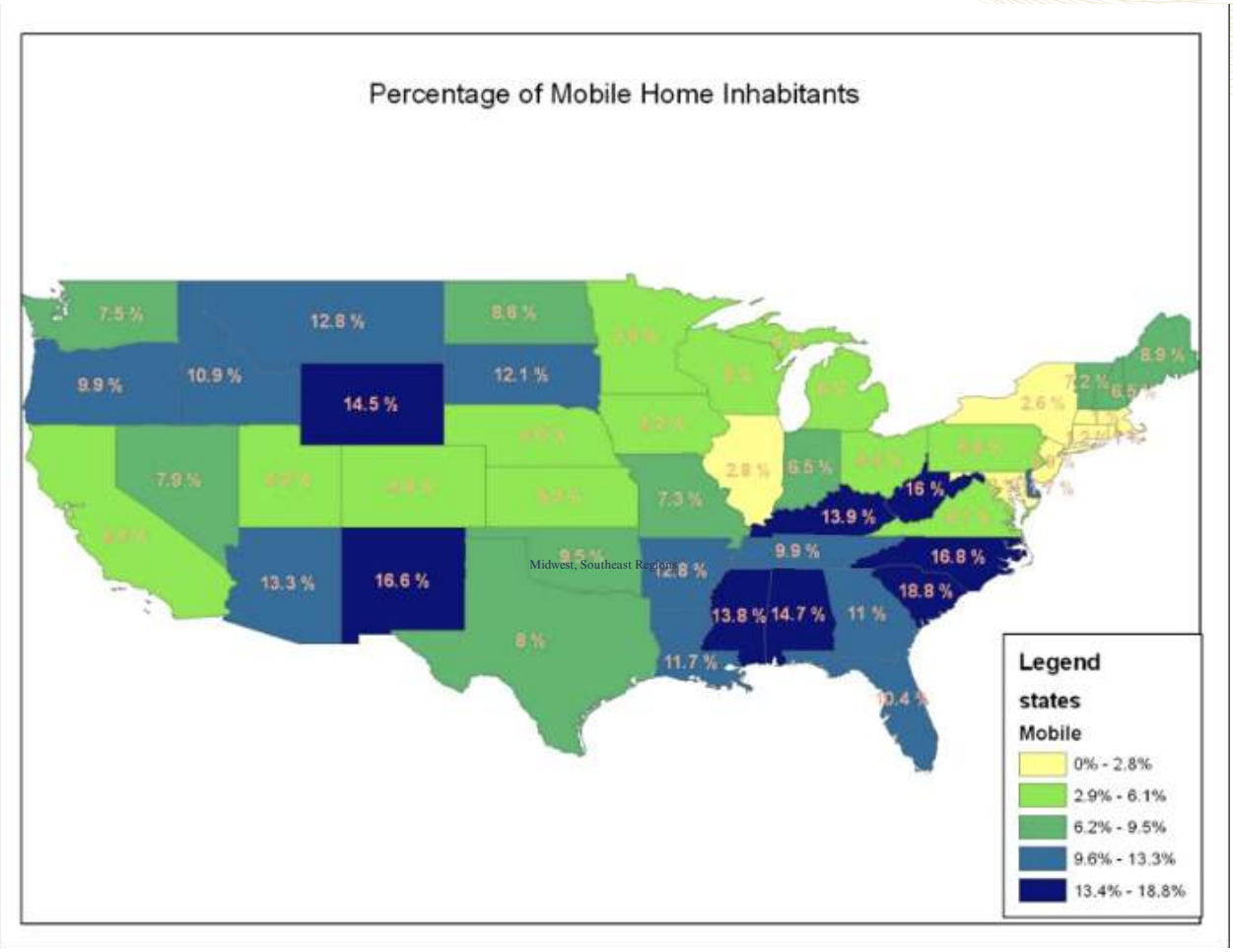
Mobile Home Park (MHP) Industry in the U.S Market Research

Market Size



- Institutional ownership for MHP's accounts for less than 20% compared to multifamily ownership of 80%
- Peaking institutional interest from investors such as Blackstone and Equity Lifestyle signals a strong market to the economy.

Mobile Home Park (MHP) Industry in the U.S Market Research



MHP's are most common among the southeast regions of the U.S with some popularity in the midwest in states like Wyoming and New Mexico. For this reason, Councyl Capital has recently expressed interest in MHP investment opportunities in the Carolina's.

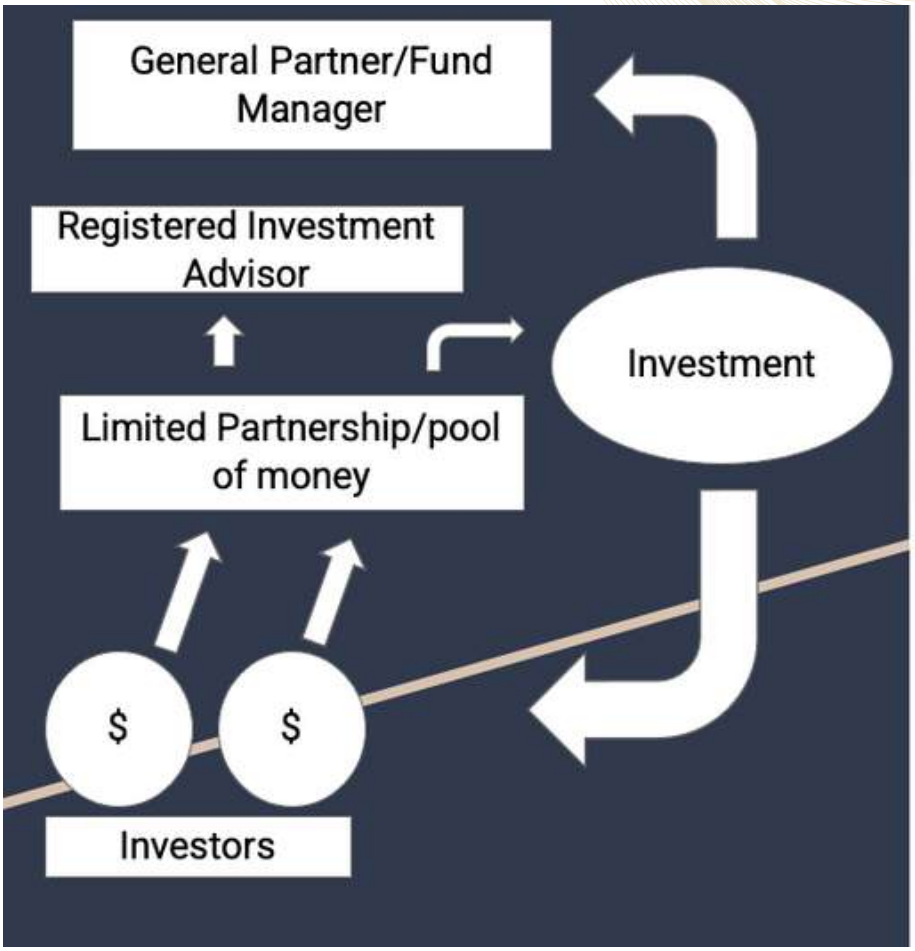
SOLUTION V: MARKET RESEARCH

Mobile Home Park (MHP) Industry in the U.S Market Research

Regulations

Regulations for MHP's exist at the federal, state and local levels. Some federal incentives are the Low-Income Housing Tax Credit (LIHTC), Fannie Mae & Freddie Mac manufactured housing initiatives, Community Development Block Grants (CDBG), opportunity zones and HUD's HOME investment partnerships program. At the state and local levels, incentives include the Resident-Owned Community (ROC) grants and loans, property tax abatements, tenant protection, State Housing Finance Agencies (HFA), and rent control policies.

Private Equity Market Research



Private equity consists mostly of private companies who raise money through institutional investors. PE firms invest in companies, help in management decisions, add capital to their projects, increase the whole encompassing value of the firm and then sell their portion of the company (usually after several years) to make a profit.

There are several legal requirements for PE firms including a Limited Partnership Agreement (LPA) and Private Placement Memorandum (PPM). In addition to performance fees, fund managers need a Series 65 license in order to earn money off of their investments. Performance fees are charged by general partners while limited partners receive their percentage of the split as stated in a legal contract. RIA's (Registered Investment Advisor's) receive a management fee of 2% minimum but can fluctuate but can vary depending on what what decided by fund managers.

SOLUTION VI:

BUSINESS CASE

Problem:

We are not competitive for loads outside of our efficient radius (330 miles from San Diego)

Possible Solutions:

1. Eat up the extra cost, make up for it in the back leg
2. Form a team in Las Vegas (long-term)
3. Charge a flat rate for everything beyond the 330 miles radius from SD (i.e flat rate of __ for loads 50 miles over, flat rate of __ for 100 miles over, etc.)
4. Time loads so that orders outside the radius can fulfill more than one shipment on the way back. Make it "worth it" (i.e for an order in Vegas, on the back leg, fulfill and order in LA)

SOLUTION VI:

BUSINESS CASE

Cities that are on the border of competitive (approximately 330 miles from San Diego)

1. Phoenix, AZ
2. Las Vegas, NV
3. Fresno, CA
4. Bakersfield, CA
5. Tucson, AZ
6. Henderson, NV

Current competitive radius



SOLUTION VI:

BUSINESS CASE

Our suggested solution:

Of the four possible solutions, we believe the second solution to be the most effective: Forming a Team in Las Vegas. It would require the largest commitment, so we recommend that you do the due diligence required before deciding to commit.

Costs:

An additional Freight Van: $30,000-50,000
(7,500 a year for 5 years with 9% interest rate)
Upgrades on that Van: $10,000
3 New Employees: $25,000-125,000 in wages
(8-40 hours a week)
Office/Storage Space: approximately $18,000 a year based on minimal office space of 900 sq. feet
Approximate Total annual costs: $52,500-152,500 a year

How it would effect the Freight Business:

Pros:

- Increased flow of income
- Allow access to more shipments in the midwest
- Allow us to eliminate extra trips between San Diego and Las Vegas.
- Potential for an increase of revenue by at least $50,000 given more availability of shipments

Cons:

- Much larger annual cost
- Increased Risk
- We may lack expertise for the market of new clients
- We may be overpaying for branching out if no new clients are serviced
- A lot of competition in Las Vegas for freight industry
- High commercial RE costs

CONCLUSIONS

From these projects, we've concluded that there is exciting potential and growth for Councyl within their freight branch. With a gross margin of 82.4%, it means that our current costs to deliver services are low in relation to our revenue, signifying great room for future growth. Total operating expenses totaled $13,030.79, with a net profit margin of 51.3%. These are strong margins, however will decrease once taxes are factored in. The freight company is ultimately reporting strong gross and net margins. Although, it's important to verify accuracy when finding future interest expense, compliance costs, and taxes.

We conclude that Councyl should continue investing in the freight industry as it has proven to be a lucrative industry for them. In our business case, one of our solutions is to expand the freight industry through acquiring a new team in Las Vegas to expand our working radius. We reaffirm this decision and conclude that the formation of a new team and purchase of a new truck would be an exciting growth opportunity for Councyl.

We also conclude that Councyl work with a USDOT Compliance Expert service to handle its freight shipping compliance efforts. We would recommend Councyl to either work with Foley or Transportation Compliance Service for compliance expert regulation work, we believe that hiring a compliance expert will be superior to handling all compliance regulations in-house.

Finally, we conclude that the DAT One Pro Load Board subscription offers an all-in-one system which can be tailored to our company's specific needs. We suggest this subscription because we believe it offers maximum efficiency and capability compared with other systems in the freight market.

Overall, we have learned a lot about the current mobile home market through our extensive market research, gaining insight into future acquisitions by Councyl in the Carolina's. Additionally, the freight industry has proven lucrative for Councyl and we believe will be an exciting branch moving forward given the early positive results from the financials.

RECOMMENDATIONS

1. **Use DAT Load Board**

- As discussed extensively above, we recommend that Councyl Capital uses the DAT Load Board because of the robust features that fit where Councyl Capital currently is in their business.

2. **Scale Freight Business**

- Based on the financial sheets previously displayed, we recommend initiating the process of preparing to scale the Freight business. Councyl or the next group of interns should research and consider the merits of buying more vehicles, expanding into different markets, or other methods to expand.

3. **Work with a Regulation Compliance Expert Service**

- Finally, we recommend that Councyl Capital work with one of our three recommended compliance expert services to ensure full compliance with USDOT, FMCSA, and North Carolina law, as well as complying with insurance requirements. Doing so will alleviate Councyl's workload and ensure that they are fully compliant in a complex regulatory field.

NEXT STEPS

1: Continue to update existing tracking frameworks

The freight job tracker, balance sheet, and income statement should continue to be frequently updated so that Councyl has an accurate picture of their current financial state. This is something that could be handled by an employee at Councyl or by an intern team. Whoever handles this can build off of the framework that our team has already created in order to optimize efficiency and continue providing this valuable financial information to Councyl Capital. This is important as it will help dictate the future strategic decisions that Councyl takes in regards to its portfolio freight company.

2: Prepare to take initial steps to expand freight business

Based off of Councyl's current financial state, we estimate that Councyl is in good position to continue to expand its freight shipping business. Employees or interns should analyze the financial statements that we have produced and evaluate for themselves what the correct direction is. Initial steps should be made to figure out what this expansion should look like- potential considerations could include adding vehicles to our fleet, entering new markets, acquiring other freight shipping businesses, or even deciding to pause expansion of the freight business until they feel that Councyl is competitive in its current market to support further growth. Regardless of what the correct direction is, we see that an important next step for Councyl is to analyze financial documents and prepare to take initial steps to expand the freight business.

3: Research and hire USDOT compliance expert service

Following our recommendation to Councyl Capital to hire a USDOT compliance expert service, an important next step for Councyl is to research each of the three recommended services and come to a decision on which compliance expert service is best suited to fulfill Councyl's unique needs. Special attention should be paid to which service can help Councyl comply with not only USDOT and FMCSA regulations, but also the unique insurance and compliance requirements that come with the kind of freight shipping that Councyl specializes in- that of smaller, specialized loads, rather than a typical freight trucking company. Off of initial research, it seems that one of Foley Services or Transportation Compliance Services will likely be most suited to meet Councyl's unique needs. The next step will then be to hire a service and work with them to be fully compliant in the regulatory compliance field.

IMPACT & OUTCOMES

Impacts:

- Gave updated balance sheets and income statements to give a reference point for their business
- Created an investor pitch deck to show investors a high overview of our company
- Offered financial advice for how to proceed in the freight shipping business
- Compiled a comprehensive list of the different freight jobs that have been completed in the past
- Conducted market research on what products would be most profitable in the freight shipping industries
- Offered solutions for how to overcome obstacles in the freight shipping company
- Offered recommended USDOT Compliance expert services

Outcomes:

- A solid reference point for where the business stands
- Offer evidence and convenience for why investors should invest with us
- Led to more market research about how to lower costs
- Have accounting records for previous jobs that allow us to review the financial health of the company
- Provided robust advice for what would benefit the company the most in the freight industry
- Clearer understanding of where money is going and how to ensure that costs continue to stay low and profit increases

USER GUIDE

Chat GPT

There is a Plus version that allows for unlimited messages and image reading/generation. For this internship Chat GPT was used for idea generation, editing, and for mathematical calculations to create Councyl Capitals Financial Statements. It was a huge help to be timely with creating our deliverables, and we were encouraged by our program sponsors to use this tool.

Google

Some limitations of Google are that a lot of the data can be contradictory and there is a good amount of misinformation since anyone can create content online. We used Google in our internship for resarch on private equity, mobile home parks, the freight business, as well as to access all of our other tools listed.

Microsoft Excel

It can be a little trickier to learn, but there are tons of online resources, classes, or courses that can be taken to understand how to navigate. Excel was used extensively throughout this internship for almost all of our individual projects within the freight business. Our P&L, Balance Sheet, Job tracker were all on Excel just to name a few.

Microsoft Teams

Microsoft Teams is very similar to Slack. It is an online messaging and video call system that allows for the creation of private channels that require personal invitations to join. It serves a very similar purpose and similar tools as Slack. We used Microsoft teams as our official group chat between our team members and our TA. We used it for official team meetings and for our midterm and final presentations to our sponsors. It doesn't have many limitations for the purpose it serves. It also has the potential for notification overload, but other than that it serves its purpose.

Slack

Slack is a cloud based messaging application similar to discord. It is a great alternative option that helps separate work and personal life and allows for organization of groups and information sent through online messaging. It is free to use and allows for the creation of private group messaging channels that need an invitation to join. It is very easy to use and doesn't have many limitations. Some have complained that it has an overload of notifications and has limited storage on the free version. Slack was our primary tool used to communicate with our sponsors at Councyl Capital. We used it to schedule meetings and send and receive data from Drew and Kelly.

OCI Dashboard

The OCI Dashboard is a very specific site through the BYU Marriott School of Business built specifically for On Campus Internships. It is an organization tool for past and present on campus internships through BYU. There is a tab that allows for hours to be recorded and submitted, a tab that organizes main tasks and deliverables that can be submitted as well, a description tab that includes the general description of the internship, and a Team tab that lists the team members, contact information and roles that they were assigned. This tool doesn't have limitations either, it serves its purpose perfectly. We constantly used this tool throughout the semester to log our hours, submit our projects such as the engagement letter or midterm presentation.

Canva

With over 220 million users, Canva is a free creative editing tool. It allows for the creation of slides, presentations, logos, and websites. There is a free version and a paid for version that allows for wider access to templates and tools. Canva is pretty easy to use due to its very visually organized outlay. There aren't very many limitations to Canva, only that the free version has a limited amount of fonts, templates, tools, etc. We used Canva a lot throughout our internship especially in the latter portion with our report and presentation.

APPENDICES

Tools

Chat GPT
https://chatgpt.com/
Google
https://www.google.com/
Excel
https://excel.cloud.microsoft/
Slack
https://slack.com/
Microsoft Teams
https://teams.microsoft.com/v2/
OCI Dashboard
https://marriott.byu.edu/explearn/dashboard/student
Canva
https://www.canva.com/
LinkedIn
https://www.linkedin.com/
Notion
https://www.notion.com/

Research

DAT Load Board
https://www.dat.com/load-boards
Video about Private Equity
https://www.youtube.com/watch?v=wkyrh6EHtVc
Article on Mobile Home Parks
https://www.forbes.com/councils/forbesbusinesscouncil/2023/08/17/the-pros-and-cons-of-mobile-home-park-investing/
Article about Freight Industry
https://ops.fhwa.dot.gov/publications/fhwahop15034/ch2.htm

APPENDICES

Deliverables

PMT Work Plan

https://byu-my.sharepoint.com/:x:/r/personal/bradyn01_byu_edu/_layouts/15/Doc.aspx?sourcedoc=%7B6F892B29-D54B-419D-B2AB-50AFCEF12883%7D&file=final%20work%20plan.xlsx&action=default&mobileredirect=true

Freight Company Job Tracker

https://docs.google.com/spreadsheets/d/1OZ7f7UdnSu-gt2qBGP2xdeRl7Z2cpnIaAAA0gzGPUEQ/edit?gid=1329706006#gid=1329706006

PMT Investor pitch deck

https://docs.google.com/presentation/d/19d5Fg-jS3FhRnyikZZDg3tBkFke2ayWM4SslHYb1GEw/edit?slide=id.g19b559181d19a53e_5#slide=id.g19b559181d19a53e_5

Balance Sheet

https://docs.google.com/spreadsheets/d/1OZ7f7UdnSu-gt2qBGP2xdeRl7Z2cpnIaAAA0gzGPUEQ/edit?gid=581769797#gid=581769797

P&L

https://docs.google.com/spreadsheets/d/1OZ7f7UdnSu-gt2qBGP2xdeRl7Z2cpnIaAAA0gzGPUEQ/edit?gid=1189097153#gid=1189097153